



Enclosed below FAQ's to give more visibility into this press release:

- **Whether the individual employee is required to take leave to avail this LTC - Cash Voucher Scheme? Whether an employee is required to undertake any travel?**

An individual need not take leave for this purpose nor undertake any travel. This is a scheme in lieu of LTC travel and hence proceeding on leave is not required.

- **If a particular LTC which is meant to be used for the scheme has been partially availed whether this scheme is available and to what extent?**

This scheme is applicable to the LTC Option left unutilized during the block year (2018 to 2021)

- **The notification says period covered for claim is 12th Oct 2020 till 31st Mar 2021. Considering the fact that LTA is for calendar period Jan to Dec every year, does this have any impact?**

The bill has to be dated 12th Oct 2020 onwards till 31st March 2021. The calendar year doesn't have a relevance on the LTA cash voucher scheme.

- **Whether a single bill of purchase of goods or services is to be submitted or multiple bills can be submitted?**

Both Single & Multiple bills are accepted. The purchase should have been done from the date of issue of the office memorandum dated 12th Oct 2020 to 31st Mar 2021 that is till the end of the current financial year. The purchase should carry a GST of 12% and above and payment should have been made to digital mode only.

- **What are the items which will qualify for reimbursement under this scheme?**

Any goods and services which attract GST of 12% and above would qualify. The invoice with GST details should be submitted and payment should have been made through digital mode only.

- **What is the definition of digital mode of payment?**

Any purchases made by any of these modes i.e. Cheque, DD, Credit Card, Wallet payments etc., can be termed as Digital payment. Cash payment are not eligible for this scheme.

- **If the bill produced contains only GST % and not GSTIN number, will there be eligibility for this scheme?**

No. GSTIN Number is mandatory on the bill produced as well as Ascent portal LTA cash voucher form. It is recommended that the number is collected and updated on the invoice or have it stamped.

- **Few invoices just mentions the amount of GST (IGST/CGST/SGST) but no mention of % against the same. How will this be taken care?**

Employee have to identify the % based on the total GST remitted.

- **Few invoice contains Cess on GST being charged, will this also be included in eligibility criteria?**

Yes. GST includes the Cess since the purchase cannot be made without paying the Cess.

- **An employee incurs the expenditure on or before 31st Mar 2021 on the basis of invoice. Actual product or service received in April 2021.**

The reimbursement is based on production of invoice with details of GST and the date of purchase should be before 31st Mar 2021. As far as possible, the claim should be made and settled well before 31st March 2021 to avoid any last-minute rush and resultant lapse.

- **If employee missed to claim this scheme before 31st Mar 2021, can they claim the same benefit while filing the tax return?**

Employee cannot claim this benefit while filing the ITR / Tax return.

- **For digital payment an employee uses credit card of his/her spouse or any family members?**

It is clarified that the invoice which is being submitted for reimbursement under the scheme should be in the name of the employee who is availing the scheme.

- **Can services like interior decoration and phone bills be included?**

Any service which is having a GST component of more than 12% is permissible.

- **Can Telephone bills or any other reimbursement be claimed in addition to new LTC scheme?**

If your reimbursements are already being / will be submitted under other sections of Income Tax Act, same cannot be claimed again under this scheme.

- **Any limit on number of transactions?**

No limit to transactions for the claim however as far as possible, the number of transactions may be limited to a minimum extent to avoid any difficulty/delay.

- **Is it allowed to do purchase from e-commerce platform?**

Procurement from e-commerce platform is also permissible provided the relevant invoice/details are submitted.

- **Should you opt for this scheme?**

This income tax benefit may actually be considered as discount on expenditure, which employee has already planned to incur, instead of a reason to incur expenditure. The effective income tax benefit for employees may depending on the highest tax slab applicable to the employee.

- **Under which Tax Regime is the employee eligible for this LTC scheme?**

Employees who are under Old Tax regime are only eligible for this scheme. Employee who have opted New Regime cannot claim this benefit and he also cannot request the employer to roll back to Old regime.

- **Can I move back to Old Tax Regime to avail this benefit?**

As per current Income Tax Rules, you can change only to old regime only in the next

financial year and since this benefit is only for this financial year, there will be no impact on decision making for next financial year.